Winning the SME Segment

How banks can leverage digital innovation to win and scale in the growing SME banking segment

Lede

The global Covid-19 pandemic has undoubtedly impacted most, if not all, small to medium-sized enterprises (SMEs). From facing hard and soft lockdowns that put tremendous pressure on revenues and cashflows, to the migration of consumer spending habits to digital channels, SMEs have had to rethink the way they manage their businesses. SMEs, over the past year, have found themselves with the urgent need to address the new, and fast-changing consumer needs in appealing, tailored, and cost-effective ways.

With this backdrop, bank can be valuable partners to SMEs, by supporting them in their recovery journey. While most of these SMEs know that things have changed, what is not particularly clear is how to effectively address this new reality.

This creates an opportunity for banks to tap into the SME market, for the following dominant reasons:

SMEs offer the highest chance for growth - there is a **3% of GDP gap** that could be closed if SMEs received the banking services they need, most especially in Europe.

SMEs in Europe and Central Asia have a funding gap **exceeding US$770 billion**.

There is a need for banks to **create new sources of value** to drive growth in an equally challenging business environment.

To capture this opportunity, banks may need to rethink how they serve SMEs, by looking more critically at the ever-changing needs of this segment and its customers, offering solutions that truly position SMEs for success.

At the centre of this is digital innovation!

Digital innovation enables banks to innovate on their offerings, channels, and operating models to ensure that customers are effectively and efficiently served. Further, it ensures that the SME segment is offered relevant and tailored solutions which often include bespoke funding needs, and increasingly, other services that go beyond 'traditional banking' such as payroll, tax, and business management. Equally, they demand great experiences across all banking platforms.

Specifically for multinational banks, there is an opportunity to scale this approach across various markets, thereby enhancing the value created by the segment.

This paper thus investigates the SME landscape and proposes key focus areas in which banks can position themselves to win in this market, considering the new market realities.

The SME Market

A Shift in the Core

According to a recent research conducted by EY Consulting, SMEs represent about 90% of businesses and over 50% of global workforce, contributing to over 40% of national GDP in emerging economies. This client segment represents a huge market opportunity for banks.

For decades, banks were, to a large extent, sole supplier for SMEs' financial needs. The SME segment's expectations were set by the bank's offerings in terms of products, services, and distribution channels. However, today, there is a new market reality, where dynamics and expectations are being driven by customers and new market entrants. While customer needs may differ from one another, SMEs now expect the same level of service that were previously exclusively offered to large businesses from their banks.

Equally, with traditional banks not tailoring their service offerings to small businesses' needs, SMEs have been approaching multiple, non traditional financial service providers, consequently settling with 'financial unbundling' to best address their needs. The big technology ecosystem players, i.e., Google, Apple, Alibaba, Facebook, and Amazon (GAAFA), have since identified opportunities to proactively expand their offerings to address SMEs' needs, using the avalanche of data that is at their disposal.

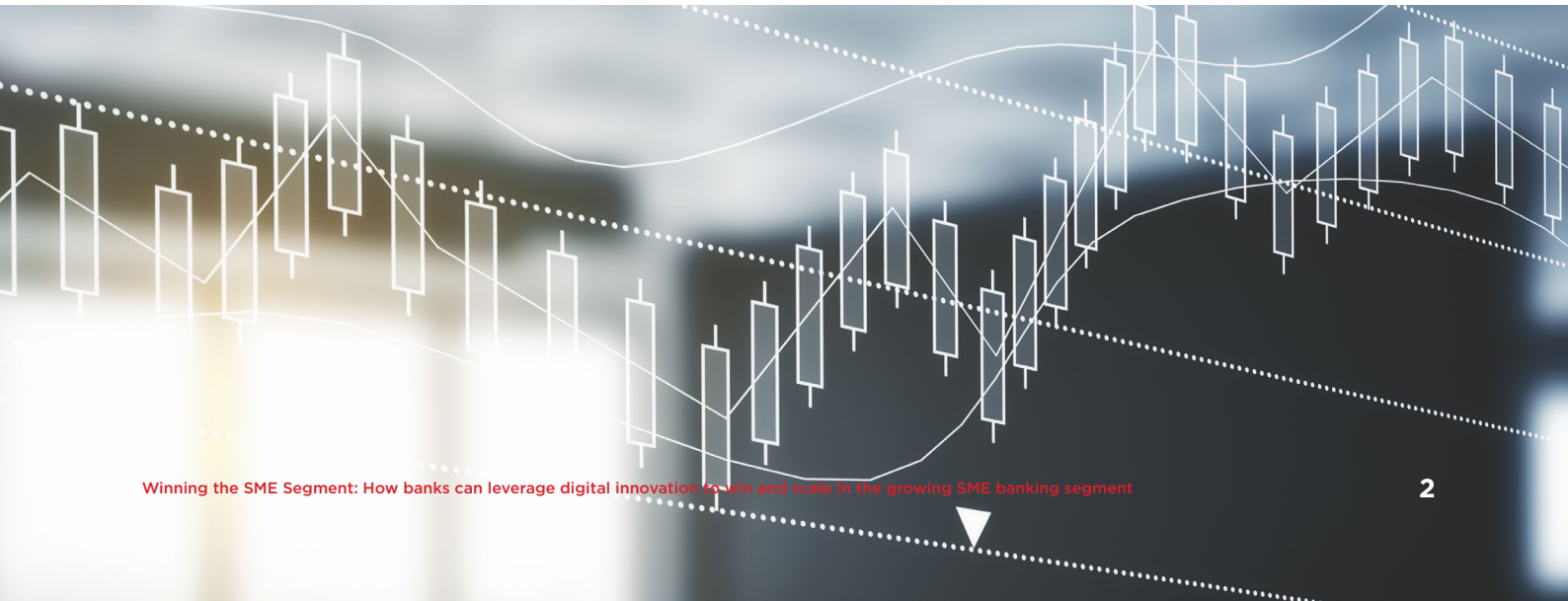
This threat requires a fast and powerful transformational response from incumbent financial institutions.

While banks may have served this market over the years, it has predominantly been a low-priority segment in comparison to the preferred accounts from the large multinationals. However, research has shown that if served well, SMEs can create a significant upside, particularly following the Covid-19 pandemic, and generate an equivalent of 33% in GDP uplift in the European markets **– highlighting the need for SMEs to move from the periphery to the core.**

Therefore, in the context of the Covid-19 pandemic, the SME market is proving to be the more strategic segment to follow, offering new opportunities, mainly because of its sheer size and how it has been under-served over the years. If their prevailing needs are adequately addressed, SMEs are likely to drive the much-needed growth for banks.

Many banks have now caught up on to this, with HSBC for instance, launching HSBC Kinetic in March 2021, to enable SMEs to open accounts within minutes, and conduct key transactions such as direct debits, standing orders and other payments.

However, there are two major shifts in this client segment that are calling for banks to rethink how they play in this space. Firstly, **SMEs' behaviour suggest that traditional banking is still not adequately addressing their needs**, and secondly, FinTechs are gaining traction as a force to be reckoned with within this client segment, stealing significant market-share.



Traditional Banking is no longer cutting it

Despite the efforts by many incumbent players to address the SME market, SMEs are exhibiting behaviours that suggest that the traditional offerings that banks provide i.e., simple transactional banking – savings & current accounts, direct debits etc., are not adequate to address the dramatic shifts that have occurred in the past 12 months.

Firstly, they are progressing the use of mobile channels for traditional banking services, with J.D. Power highlighting that over 60% of SMEs use mobile for their everyday transactions. Secondly, this increased use of mobile has also allowed for SMEs to easily migrate to FinTechs and other technology offerings to address their most-immediate needs.

The latest EY Global Fintech Adoption Index (2019) highlights that more than 53% of SMEs have made use of FinTech platforms to address core banking segment services such as payments, financial management, financing (funding) and insurance services. In addition to these, SMEs are using other tech solutions to obtain beyond-banking services such as bookkeeping, payroll, procurement, legal and tax services as well as gaining access to information on business-critical information on tenders, government relief programmes and new ways of collaborating and working remotely and digitally.

A few data points that highlight the shift in behaviours are highlighted below:

Shift in behaviours

1. **Alipay and WeChat**
   Account for 90% of the mobile payment market in China.
2. **Monzo**
   Accounts for 15% of all new account openings in the UK.
3. **Klarna**
   10% of all e-commerce sales in Northern Europe go through Klarna.
4. **M-Shwari**
   In Kenya processes 80,000 short-term microloan applications per day on their platform.

Not only are these technology platforms stealing market share from the incumbent players, but they are also doing something unique – offering inclusion in a way that banks have not been able to – a phenomenon I call **'new market-making'**.

Moreover, these FinTech platforms excel at leveraging digital technologies, data, and lean operating models to create inimitable value propositions, and as such, can reach further and faster. These platforms can no longer be considered as peripheral entities, they are now key competitors, especially when they are aggregated.

Exhibit 1 below shows examples of how FinTech companies are addressing basic financial needs of SMEs as well as their broader needs.

Fulfilling traditional banking and financing needs better

A FinTech platform offers credit decisions in minutes for SMEs. First, customers share basic information about their company. Thereafter, they connect their accounting software and/or bank account to the FinTech platform to get a credit decision.

A FinTech crowdfunding platform for SMEs offers rewards-based and equity-based campaigns for small businesses. Once customers have created their profile, they select if they prefer reward or equity for their funding needs and then start their funding campaign by sharing and telling the world about their fundraising.

Another example is a FinTech that allows SMEs to apply for a business loan in just 15 minutes without fees or obligations. Once the application is complete, the customer can choose from over 70 leading credit providers.

Addressing broader needs of SMEs beyond banking

An accounting software business assists SMEs with an online accounting software that simplifies invoicing and accounting requirements. The software allows its users to collect payments and pay invoices entirely online and keep track of their finances with automated reports and insights.

A FinTech with tax process simplification capabilities helps SMEs with tax compliance through automation. Through APIs, the software allows for integration with other platforms such as Microsoft Dynamics, Salesforce and ShopifyPlus to help the customers meet their tax obligations (e.g., sales tax, excise tax, lodging tax).

A UK business credit provider, with a niche in invoice processing, business loans and corporate finance solutions, was the first to allow SMEs to borrow against individual outstanding invoices

Bearing in mind the challenge of both fulfilling traditional banking and financing needs better, while also addressing the broader needs of SMEs beyond traditional banking, we are **beginning to witness responses from incumbent players, including HSBC**.

For instance, a large financial services industry player in Europe offers a more tailored financing solution for SMEs, which couple two tranches under one contract (For example, a traditional medium-term bank loan repayable over some five years plus a long-term loan of 7 to 10 years provided via the debt fund), reimbursable in full at the date of maturity. This is an improvement on an existing offering. In terms of launching new offerings, a big bank in the UK partnered with a FinTech to launch a single-invoice insurance, which helps small businesses protect themselves from insolvency and late payments.

In a similar fashion, a leading bank in Australia launched a separate platform (integrating to their platform) that acts as a hub for SME business management tools – Wiise. This tool empowers SMEs to take control of their business by combining accounting, payroll and banking, and operational functions like HR, inventory, and manufacturing.

While these responses are laudable, incumbent players need to take the next step that will allow them to capture significant value in the SME market. The next section focuses on the actionable steps to do this.

The Journey to Digital Innovation
and Winning the SME Market

The proliferation of FinTechs in traditional banking segments offers a pivotal insight to how banks need to reinvent themselves to win in the SME space – there is high demand for services that address SMEs' needs. As relatively new entrants, they have carved-out new markets for themselves and are chasing aggressive growth rates. It is critical to examine how these new market-makers have done this and how they continue to win in this space.

Incumbents need to go beyond the simple transactional banking model that is currently at play and adopt a model that offers digital-led, scalable solutions that address SME pain-points.

To this end, I believe that digital innovation, as exhibited by FinTechs, is a **non-negotiable cornerstone to achieving success in the SME segment**.

The following 5-key focus areas are the domains that I believe banks looking to win the SME segment must excel in to be successful.

Niche offering

In addition to transactional banking, banks must choose to be the best at a specific niche. Klarna, offers check-out loans, on ecommerce sites, a unique that has seen them grow over 40% year on year, posting revenues of $53 billion in 2020.

Digitally led Bank

Advanced digital capabilities are a non-negotiable for the SME segment. The fastest growing banks in this space are digitally led and have built enhanced data capabilities.

Customer Centricity

No one should understand the customer more than we do! FinTechs exhibit this the most - they understand that the battle lies in offering personalised customer experiences (hyper-personalisation) that make life incredibly easier for their customers.

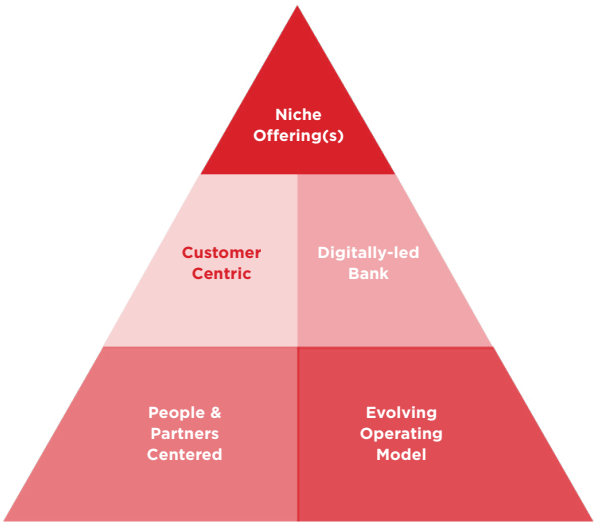
People and Partnerships -centered

It is important to look for the best talent to work in the business, and partner with leading companies (mostly startups) to access cutting-edge solutions.

Evolving operating model

To respond to the fast-changing pace of the market, banks will need to be very nimble, move fast, drive cost leadership, have minimal waste (redundances), and adopt future-fit ways of work.

The model below highlights the key areas that banks can innovate on to capture the SME market. Key focus areas for digital innovation in SME banking:



Niche Offering(s)	Customer Centric	Digitally-led Bank	People & Partners	Evolving Op. Model
Lead a niche category in the market "Be the best at something valuable"	Clear target segments and aligned offerings	Adopt fit-for purpose tools and technology	Partners: Access to cutting-edge Technology and IP; Access to new markets	Reduction of cost and waste
Adopt innovative approach to new products & markets	Clear customer Value Proposition	Optimise channels for market access; Transition to 'digital-first'	People and Partners: Access to new skill-sets; Diffusion of innovation culture	Agility and speed of execution
	Streamlined customer journey and experience	Champion data-led decision making		New and future-fit Ways of Work

Customer acquisition play

Customer retention play

Profitability and scaling play

Niche Offering	
Beyond the traditional banking offerings, a bank looking to win in the SME segment must choose to be the best in a niche offering with a significant market size. The priority should be to access new markets with new and disruptive offerings, as opposed to serving existing markets with marginally better offerings, which yields little results	• Double-down on offering better service at traditional banking segments – do the basics very well and identify a niche area that addresses a significant customer pain point. • Address the broader needs of customers, i.e., beyond traditional banking.

Customer Centricity	
No one should understand the customer more than you do! Leading FinTechs exhibit this the most, they understand that the battle lies in offering personalised customer experiences i.e., hyper-personalisation to make life incredibly simpler for their customers. Likewise, banks that serve SMEs should offer tailored services that meet SME owners at their points of need.	• Understand in-demand segments and existing pain points within core services as well as across beyond-banking services. • Understand the key focus areas to move the dial - speed of execution, cost, convenience and memorable experience. • Design standardised, intuitive, and personalised customer journey across all platforms.

Digitally-led Bank	
With the bulk of SME owners utilising digital channels for banking services, fit-for-purpose tools and technologies become critical for both staff and customers. The journey to becoming a digital-native business requires significant investment in specialised skillsets, systems and infrastructure.	• Adopt new tools and digital systems to replace legacy systems, including introducing the use of digital assistants and self-service platforms to increase speed of execution. • Drive seamless omni-channel delivery, including effective digital onboarding of customers. • Adopt seamless ingestion, storage and querying of documents and customer information, while also using real-time dashboards to visualise performance, ultimately, optimising processes, and reducing bottlenecks. Also, automate decision making process for predictable cases, by leveraging existing customer data.

People and Partnerships-centred	
This is one of the toughest challenges faced by banks – the digital skill-base and partner landscape is finite. Banks must look far and wide for exceptional skills and offer competitive employee value propositions to attract and retain them. Additionally, they must leverage partnerships to access skills, intellectual property, and disruptive innovations to plug them into the banking value-chain, for both customer facing solutions and/or internal operations.	• Identify areas for partnership – low capability areas, unserved/ underserved sub-segment, untapped geography, and any other area of advantage (e.g., patent-led, first mover etc.). • Drive a digitally literate workforce, innovative culture, multi-skilled staff to address varying needs, thus transforming the typical employee from "a banker" to a data-led advisor.

Evolving Operating Model	
To respond to the fast-changing pace of the market, banks will need to adopt operating models that emulate those of technology start-ups. Key focus areas include running lean and agile operations and structures, right-sizing physical infrastructure investments and ensuring water-tight governance and risk management processes. Further, they must be very nimble, move quickly, drive cost leadership, have minimal waste (redundances), and adopt future-fit ways of work.	• Break down silos between banking divisions (easy access to information and insights across customer contact-points), including optimising processes, retiring of legacy tech, and eliminating redundant tasks. • Promote proactive and continuous improvement across all areas – data quality, systems, technology, operations, and decision-making. • Introduce enhanced risk management in a digital context – based on limited physical engagement, customer lifetime value, ongoing relationship and available data.

Customer acquisition play

Customer retention play

Profitability and scaling play

Concluding Thoughts

This paper makes the case for the adoption of digital innovation in the SME banking segment, and key lessons are drawn from leading players globally, mainly FinTechs and the GAAFA firms, who highlight how technology can be a catalyst for growth in this segment.

If done well, it is evident that the SME segment can create new and sustainable value for banks, considering that SMEs' lifetime values are likely to increase over time, as the SMEs receive increased support from the banks. It important to note that an SME play is likely to be a medium to long-term play, as significant upfront investments must be made, particularly to acquire customers, and invest in fit-for-purpose technologies that are the bedrock of success in this space.

For multinational banks, there is an opportunity to translate successful pilot projects in test markets to other many markets, where the services offered can be replicated and tailored to suit the local market. It is at the scaling stage that digital innovation begins to pay dividends, where gains are driven by both economies of scale and scope.